

LEGAL & ARCHITECTURE BLUEPRINT

The Legally-Structured Architecture

What the law actually permits — built from FEMA/RBI boundaries, the IFSCA sandbox pathway, and destination-country stablecoin law

This is a design blueprint, not a regulatory approval. No regulator — not RBI, not IFSCA, not any US/EU authority — has reviewed this specific design. Every jurisdiction-specific conclusion here must be confirmed by qualified counsel before it is built or shown to anyone as "compliant." See Section 1.

No self-issued tokens

Stablecoin never touches customers

Partner-first licensing

Company: NivixPe Private Limited

Scope: Ground-up legal architecture — ignores current code, starts from what the law permits

Date: August 2026

FOR LEGAL REVIEW — CONFIRM ALL [VERIFY] ITEMS WITH COUNSEL

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1. What This Document Is — and Isn't

Not a regulatory approval. This document reflects general legal principles — FEMA/RBI's treatment of crypto, the GIFT City IFSCA sandbox pathway already chosen for this project, and the US GENIUS Act stablecoin framework — applied to a system design. It has not been reviewed by RBI, IFSCA, FinCEN, or any other authority. Treat every jurisdiction-specific conclusion below as a starting hypothesis for your lawyer to confirm, not a finding.

Some specifics could not be verified live. Web verification of current regulations was unavailable when this document was prepared. Anywhere marked **VERIFY** must be checked against current primary sources — RBI/IFSCA circulars, FinCEN guidance, or your lawyer's own research — before being relied upon. Section 10 consolidates every such item into one list.

What this document IS

- A blueprint showing which legal defect gets removed by which architectural choice, so engineering, legal, and the investor conversation describe the same target shape
- Built consistent with decisions already locked for this project: GIFT City IFSC / IFSCA sandbox as the legal home, Hyperledger Fabric (multi-org) as the compliance/audit ledger, and real Circle USDC — never a self-issued token — as the settlement asset
- Written from scratch, ignoring the current prototype's implementation entirely — this is what the law permits, not a patch on existing code

2. The Legal Defects Being Removed

Before describing the target architecture, it's worth being explicit about which specific patterns it eliminates and why each one matters to a regulator.

Pattern	Why it's a legal problem	Who reacts
Self-issued tokens labeled as a real currency (e.g. "USD-token," "INR-token") with no backing	Functions as an unbacked stored-value / e-money-like instrument; separately risks misrepresentation if labeled as a real currency it isn't redeemable for	Every regulator reviewed — RBI, IFSCA, FinCEN, EU authorities
Customer wallet holds or burns crypto directly	Attaches full retail virtual-digital-asset regulatory exposure — KYC/AML, travel-rule, VDA registration — directly to the customer relationship	Highest-scrutiny category, everywhere
Customer fiat used to fund a crypto purchase for outward transfer, with no defined institutional structure in between	Risks being characterized as an LRS violation — purchasing virtual digital assets is an explicitly barred purpose for outward remittance under FEMA	RBI / FEMA, directly
Treasury private key stored as a plaintext file, no custody controls	Fails the safeguarding-of-customer-funds expectation attached to essentially every money-transmission license	Any money-transmission regulator
No entity in the chain actually holds a license covering the cross-border money movement itself	Unlicensed money transmission — a core offense, not a technicality	Every jurisdiction in the corridor

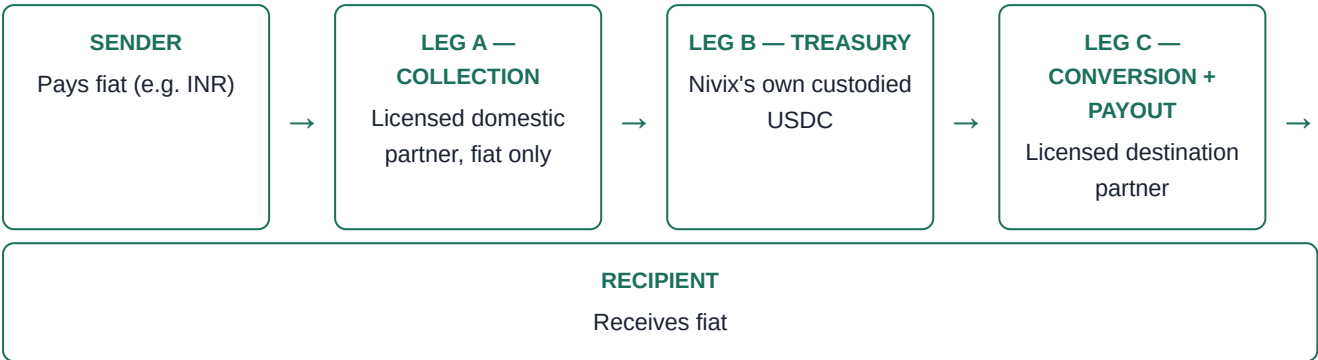
3. The One Rule That Fixes Most of It

Stablecoins never touch a customer. Not bought, not held, not burned. Customers only ever see fiat — they pay fiat in, and a recipient receives fiat out. Any stablecoin in the system exists purely as Nivix's own internal treasury tool, moved only between Nivix's own custody and a licensed partner's custody.

This single rule does most of the legal work in this document:

- It removes retail crypto custody entirely — the single highest-scrutiny risk category in row 2 of Section 2 — because there is no customer-held asset to regulate.
- It removes the self-issued-token problem structurally (row 1) — there's no token for a customer to receive, so there's nothing to mislabel as a currency.
- It reframes the customer's payment as a domestic transaction for a service, not a crypto purchase (row 3) — though the precise legal weight of that reframing for India specifically still needs confirmation; see Section 5.

4. The Architecture — Three Legs, One Diagram



Leg	Function	Who performs it	What crosses this boundary
A — Collection	Take the sender's fiat, confirm payment	Licensed domestic Payment Aggregator / PSP partner	Fiat only
B — Treasury	Hold and move Nivix's own pre-funded USDC	Nivix, via institutional custody	USDC — Nivix's own asset, never customer-owned
C — Conversion + payout	Convert USDC to destination fiat, pay the named recipient	Licensed conversion/payout partner in the destination country	Fiat only reaches the recipient; USDC only ever touches the partner's own regulated system

5. Legal Basis — Leg A: India Collection

5.1 The regulatory reality, plainly

- RBI does not recognize crypto or stablecoins as legal tender or as a permitted remittance instrument.
- FEMA's Liberalized Remittance Scheme (LRS) explicitly excludes purchasing virtual digital assets as a permitted purpose for outward remittance.
- Any entity dealing in virtual digital assets must register with FIU-IND as a reporting entity under PMLA — this is an anti-money-laundering obligation, not a license to run a VDA remittance business.

5.2 What this architecture deliberately does NOT do

It does not let a mainland Indian customer's remittance instruction convert into crypto. The customer pays a licensed domestic partner in INR for a payment service — a domestic transaction. Whatever happens next (Nivix's own treasury operations, Leg B) is Nivix managing its own working capital, using its own money, to fulfil that service abroad.

5.3 Why this still needs sign-off — the single most important open question VERIFY

The pattern "customer pays for a service domestically; the provider separately settles internationally using its own assets" is an established one in payments — it is roughly how many money transfer operators net-settle across borders without physically moving the customer's own currency. But whether Nivix's specific structure satisfies this in substance is not something this document can certify:

- Does an IFSC-based entity receiving a mainland customer's payment through a domestic collection partner actually get FEMA's "non-resident jurisdiction" treatment for this specific flow, or does it still require the collection leg itself to hold a specific RBI-recognized cross-border remittance authorization?
- Candidate categories worth researching with counsel: status as an Authorised Dealer, or authorization under RBI's Payment Aggregator–Cross Border framework

VERIFY exact current name/requirements.

This is exactly what the "confirm IFSCA sandbox scope with the lawyer" item already flagged for this project in earlier planning. This document does not resolve that question — the rest of this architecture depends on its answer.

6. Legal Basis — Leg B: Treasury & Custody

Once fiat has been collected domestically for a service (Leg A), Nivix's treasury is Nivix's own money — the same as any company's working capital. The relevant legal question shifts from "is this remittance" to "is this money safeguarded properly":

Requirement	Why it matters
Funds purchased through a regulated, KYB'd channel (a licensed exchange, or an institutional product like Circle Mint) — never self-minted	Establishes that the USDC in the treasury is real and traceable to a legitimate purchase, not fabricated
Institutional-grade custody — multisig or MPC, not a single private key on a laptop or in a plaintext file	A single-key treasury fails the safeguarding expectation attached to money-transmission licensing, and is a straightforward operational risk regardless of licensing status
Customer funds still in transit held in a segregated account, not commingled with Nivix's general operating capital	Close to a universal requirement under money-transmission safeguarding rules, and good practice even where not strictly mandated VERIFY specific requirement under the applicable license

7. Legal Basis — Leg C: Destination Country & Licensing Strategy

7.1 Why USDC specifically

In the US, the GENIUS Act [VERIFY current status/requirements](#) established a federal framework for "payment stablecoins" — issuers must hold 1:1 reserves in cash and short-term Treasuries, and undergo regular audits. This is what makes Circle's USDC a compliant settlement asset to route through, as opposed to an unregulated token — the same distinction that rules out any self-issued asset in this design.

7.2 Money transmission is separate from the choice of asset

Regardless of which stablecoin is used: moving money for other people, across a border, for a fee, is money transmission — regulated state-by-state in the US (Money Transmitter Licenses) and federally (FinCEN MSB registration), with equivalent categories in the EU and elsewhere.

7.3 Chosen strategy: partner-first

Rather than Nivix obtaining its own Money Transmitter Licenses — realistically a lengthy, high-cost process for an early-stage company [VERIFY current timeline/cost](#) — Nivix contracts with a partner that already holds the relevant licenses to perform the USDC-to-fiat conversion and the payout to the named recipient. The partner's license covers the regulated act in that jurisdiction; Nivix's role is technology, orchestration, and its own treasury.

7.4 What this strategy does not eliminate [VERIFY](#)

Partnering shifts risk; it does not remove the need for legal review. Confirm specifically that the chosen partner's license scope covers *receiving USDC from Nivix's treasury and paying a named third-party recipient* — not merely processing payments on behalf of the partner's own direct merchants. License scope varies materially by provider and must be checked against Nivix's exact use case before any contract is signed.

8. Non-Negotiable Rules

These hold regardless of jurisdiction, corridor, or which specific partners are chosen. None of them should ever be reversed for convenience.

- 1 No self-issued token labeled as, or standing in for, a real currency.
 - 2 No customer wallet holds, buys, or burns any crypto asset, at any point in the flow.
 - 3 No funding of stablecoin purchases with LRS or other outward-remittance-restricted money.
 - 4 No treasury private key without multisig or MPC and institutional custody.
 - 5 No commingling of customer funds still in transit with Nivix's own operating capital.
 - 6 No cross-border leg performed by any entity — Nivix or a partner — without a confirmed, current license or authorization covering that specific act, in that specific jurisdiction.
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9. Phased Rollout Aligned to Legal Milestones

Phase	Focus
Phase 0 — Legal foundation (parallel to any engineering)	Confirm the Leg A characterization question (Section 5.3) with counsel; select and contract one destination-country conversion+payout partner and confirm license scope (Section 7.4); open Circle Mint KYB for treasury funding; stand up institutional custody (multisig/MPC)
Phase 1 — Single-corridor MVP	Build only the three-leg flow in Section 4 — no multi-currency dropdown, no self-minted tokens, no customer-held crypto; full KYC gate, Fabric-recorded (multi-org, already locked); capped to sandbox limits
Phase 2 — Scale within the sandbox	Add corridors via additional or broader destination partners; push toward higher sandbox tiers as milestones are met
Phase 3 — Exit the sandbox	Revisit obtaining Nivix's own licenses once volume justifies the cost — partner-first is the starting strategy, not necessarily the permanent one

10. Open Questions for Counsel — Consolidated

Every item marked **VERIFY** throughout this document, gathered in one place. None of the architecture in Sections 3–4 should be treated as final until these are answered.

- 1 Does Nivix's IFSC-entity-plus-domestic-collection-partner structure satisfy FEMA's non-resident treatment of IFSC for this specific flow, or does the India collection leg need its own specific cross-border authorization — e.g. an Authorised Dealer category, or authorization under RBI's Payment Aggregator–Cross Border framework? (*Section 5.3*)
 - 2 Current IFSCA sandbox transaction/customer caps, and whether the destination partner must be named in the sandbox application. (*Section 5*)
 - 3 Current status and specific requirements of the US GENIUS Act stablecoin framework, and whether it affects the choice of stablecoin issuer. (*Section 7.1*)
 - 4 Whether the chosen destination-country partner's license scope covers paying named third-party recipients on Nivix's behalf, not just processing the partner's own direct merchant transactions. (*Section 7.4*)
 - 5 Segregation/safeguarding requirements specific to the sandbox terms and to the destination-country partner relationship. (*Section 6*)
 - 6 Current realistic cost and timeline for Nivix's own Money Transmitter Licenses, to validate the "partner-first, license later" assumption in Phase 3. (*Section 9*)
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Appendix A — Glossary

FEMA

Foreign Exchange Management Act — India's core law governing cross-border currency transactions.

LRS

Liberalized Remittance Scheme — the FEMA facility allowing resident individuals to remit money abroad for permitted purposes; explicitly excludes purchasing virtual digital assets.

FIU-IND

Financial Intelligence Unit-India — the body virtual-digital-asset businesses must register with as reporting entities under PMLA.

PMLA

Prevention of Money Laundering Act — India's core anti-money-laundering law.

IFSC / IFSCA

International Financial Services Centre (GIFT City, Gujarat) and its regulator, the International Financial Services Centres Authority — treated as a non-resident jurisdiction for FEMA purposes.

VDA

Virtual Digital Asset — India's regulatory term covering cryptocurrencies and similar tokens.

MTL

Money Transmitter License — required state-by-state in the US to legally move money on behalf of others.

MSB

Money Services Business — the FinCEN federal registration category covering money transmitters in the US.

GENIUS Act

US federal legislation establishing a regulatory framework for "payment stablecoins," requiring 1:1 reserve backing and regular audits.

Multisig / MPC custody

Custody models requiring multiple independent approvals (multisig) or distributed key computation (MPC) to move funds — the alternative to a single private key controlling an entire treasury.

Payment Aggregator–Cross Border

A candidate RBI regulatory category for entities facilitating cross-border payments; exact current name and requirements flagged for verification in this document.

Appendix B — Confidence & Sources Note

This document mixes two kinds of claims, and it's worth being clear about the difference:

Category	Examples	Confidence
Established, longstanding regulatory principles	RBI's non-recognition of crypto as legal tender; LRS's exclusion of crypto purchases; the requirement for VDA businesses to register with FIU-IND; the existence and core 1:1-reserve requirement of the GENIUS Act; the general requirement for money-transmission licensing in the US/EU	Reasonably reliable — long-standing, widely reported
Fast-moving or case-specific items	Current IFSCA sandbox caps; exact current name/requirements of any RBI cross-border payment aggregator framework; current licensing costs/timelines; whether a specific partner's license scope covers this exact use case	Not verified live in this session — every such item is marked VERIFY and listed in Section 10

Bottom line: this document is a legal-architecture hypothesis, built to remove the specific, well-understood defects in a naive design (Section 2). It is a starting point for your lawyer's review — not a substitute for it.